

Inheritance Tax Manual

From: **Valuation Office Agency**
(/government/organisations/valuation-office-agency)

Published 5 May 2017

Updated: 26 November 2024 - **See all updates**

[Back to contents](#)

Practice note 10: part 3 - relief given since 1981

The Valuation Office Agency's (VOA) technical manual relating to Inheritance Tax.

Case	Dates	Relief
Property with vacant possession	10/3/81 - 9/3/92	50%
Extra Statutory Concession On a transfer of tenanted agricultural land, the condition in s116(2)(a) is regarded as satisfied where the transferor's interest in the	Not agreed by 13/2/95	100%

property either *carries a right to vacant possession within 24 months of the date of transfer, or * is, notwithstanding the terms of the tenancy, valued at an amount broadly equivalent to the vacant possession value of the property."

FA 1992 a. the interest of the transferor in the property immediately before the transfer carries the right to vacant possession or the right to obtain it within the next twelve months; or b. the transferor has been beneficially entitled to that interest since before 10 March 1981 and the conditions set out in s116(3) are satisfied (for transitional relief in respect of tenanted property following the change of rules in March 1981.	10/3/92 - 31/8/95	100%
---	----------------------	------

FA (No 2) 1995 c. the interest of the transferor in the property immediately before the transfer does not carry either of the rights mentioned in paragraph (a) above because the property is let under a tenancy beginning on or after 1 September 1995.	31/8/95 - continuing	100%
---	-------------------------	------

Transitional relief for certain landlords

FA (No 2) 1995 a. that the property would have qualified for the 50% agricultural relief under Sch 8 FA 1975 had it been transferred before 10 March 1981; and b. that the	10/3/81 - 9/3/92	50%
--	---------------------	-----

owner had not and could not have had the right to vacant possession between 10 March 1981 and the date of transfer. NB. Size and value restrictions apply. CTO will advise when case referred.

	10/3/92 - continuing	100%
--	-------------------------	------

Other Tenanted Property

	10/3/81 - 14/3/83	20%
--	----------------------	-----

IHTA 84	15/3/83 - 9/3/92	30%
---------	---------------------	-----

FA (No 2) 92, s73 and Schedule 14	10/3/92 - 31/8/95	50%
--------------------------------------	----------------------	-----

FA 1995, s154

a. Other property subject to tenancy granted before 1 September 1995; b. Other property subject to tenancy granted on or after 1 September 1995, whether under the Agricultural Holdings Act 1986 (ie. succession tenancies) or the Agricultural Tenancies Act 1995 (in Scotland The Agricultural Holdings (Scotland) Act 1991)	1/9/95 - continuing	a. 50% b. 100%
---	------------------------	-------------------------



All content is available under the [Open Government Licence v3.0](#), except where otherwise stated



[© Crown copyright](#)